



EAGLE MOUNTAIN SPECIAL CITY COUNCIL MEETING MINUTES

January 24, 4:00 p.m.
Eagle Mountain City Council Chambers
1650 East Stagecoach Run, Eagle Mountain, Utah 84005

2:30 P.M. POLICY SESSION – CITY COUNCIL CHAMBERS

ELECTED OFFICIALS PRESENT: Mayor Tom Westmoreland, Councilmembers Donna Burnham, Colby Curtis, Carolyn Love, and Brett Wright. Councilmember Jared Gray was excused.

CITY STAFF PRESENT: Paul Jerome, City Administrator; Steve Mumford, Assistant City Administrator/Community Development Director; Fionnuala Kofoed, Director of Administrative Services/City Recorder; Evan Berrett, Economic Development Director; Marcus Draper, City Attorney; Chris Trusty, City Engineer; Kimberly Ruesch, Finance Director; Brad Hickman, Parks and Recreation Director; Zac Hilton, Streets and Storm Drain Manager; Jeff Weber, Fleet and Facilities/Operations Director; Tyler Maffitt, Communications Manager; Michele Graves, Library Director; and BJ Eccles, Sergeant.

1. CALL TO ORDER

Mayor Westmoreland called the meeting to order at 2:36 p.m.

2. AGREEMENT

2.A. AGREEMENT – Public Water Supply Agreement Between Eagle Mountain City, Utah and Oquirrh Wood Ranch, LLC.

City Administrator Paul Jerome presented the item. The developers of Firefly, previously Pole Canyon, are seeking a long-term agreement to purchase 4,000-acre feet of water for their development through the City's contract with the Central Utah Water Conservancy District (CUWCD). The proposed agreement allows Oquirrh Mountain Ranch, LLC (OWR) to purchase 1,000-acre feet under the City's existing contract with CUWCD and would entail the City being able to contract with CUWCD for an additional 3,000-acre feet under a new contract. This item was tabled at the January 17, 2023 City Council meeting. The results of a water study indicated that the City will be approximately 9,000-acre feet of water short of being able to fully build out to its current boundaries. In the past, Mr. Jerome contacted CUWCD to discuss additional water allocation for the City. The terms he was told at that time made him uncomfortable and could have jeopardized the current contract with CUWCD.

OWR inquired about purchasing water from the City's current contract but, given the amount of water left, the City found the request unpalatable. The City and OWR jointly approached CUWCD regarding additional water to provide water for the Firefly development and reduce the overall water deficit in the City. This agreement is between the City and OWR; however, it would precede an agreement between the City and CUWCD for additional water. On January 17th, the City had to submit a formal request to CUWCD for their board to consider the requests to determine whom

they would agree to award their remaining water shares to through future agreements. Consequently, a failure to secure additional water through CUWCD will preempt this agreement.

Mr. Jerome explained that he desires to retain and amend Section 3 of the agreement, “*Accordingly, OWR shall not reduce the size of the Commercial or Industrial Planning Areas in the Community Plan exhibit to the Amended and Restated Master Development Agreement between the parties (and others) without the written consent of the City,*” to require the consent of the City Council to ensure that water needs of industrial partners are adequately planned for and addressed along with any changes in zoning. The well will need a sanitary seal before it can be used for culinary purposes and connected to the City’s water supply.

Applicant representative Jared Westhoff explained that the White Hills transition agreement includes the transfer of the infrastructure in addition to the water rights. The water rights transition was required for them to service the White Hills subdivision and White Hills Country Estates. This is a standalone agreement that involves wells that were not a part of the transition agreement and formalizes water rights that were included as *may* rather than *shall* that had been held in the case of interest by an industrial user in property located outside of Eagle Mountain City boundaries. Other aspects of the White Hills transition agreement will be negotiated in conjunction with the master development agreement (MDA).

Mr. Draper reviewed the original Pole Canyon Master Development Agreement, its exhibits, and the transition elements. The body clarified and discussed concerns between the terms of that agreement and the transition agreement. Mr. Draper suggested adding language to this Public Water Supply Agreement to clarify that it does not supersede the terms in Exhibit B concerning water rights in the original Pole Canyon Master Development Agreement. He does not foresee a conflict as the new agreement should be understood to control in areas where the agreements conflict.

Mr. Westhoff stated that they are amenable to clarifying that this agreement does not replace the terms in the Pole Canyon Master Development Agreement as that had never been their intent.

Councilmember Curtis raised concerns about conflicts between this agreement and the exhibit regarding water in the White Hills Transition Agreement for Pole Canyon. The City and the applicants agreed to add language to this Public Water Supply Agreement to clarify that it does not supersede the terms in Exhibit B concerning water rights in the original Pole Canyon Master Development Agreement.

Councilmember Wright expressed concern with the City acting as a water broker as most cities have developers secure their own water rights.

Mr. Westhoff reviewed the history of the agreement. They had originally planned to have the White Hills Water Company and local district to provide their own water needs directly through CUWCD. They have several wells that served White Hills prior to annexation. They had originally protested the City partnerships with CUWCD until they attended a hearing and learned that the District water will help strengthen the City’s water supply. They withdrew their protest and applied for CUWCD water. City legal counsel at that time approached them and indicated that the City

desired to partner with them regarding water rather than them providing for their own water needs and having competing water requests. They recognize that the City is better equipped to service and provide water. They are willing to apply to the CUWCD for the water but are trying to honor a request by the City to retain ownership of the wells rather than the CUWCD. They are no longer functioning as a water company but are retaining debts on their accounts at the request of the City until those debts are paid. Partnering with the City places them at additional risk because working directly with CUWCD they would be given priority consideration for the last of the water shares because the CUWCD desires ownership of wells within Eagle Mountain. In this agreement, the City would receive the wells desired by the CUWCD.

Councilmember Burnham explained that she had been on the City Council when the City purchased additional water shares and those purchases allowed for economic development in the City.

Discussion ensued regarding concerns with the rewards and risks inherent in the agreement should the takedown schedule not be met and the potential impacts to taxpayers and the ability to mitigate and respond to challenges that may arise including selling the shares to other cities.

Staff explained the takedown schedules and clarified the terms of the agreement.

Mr. Jerome said that the agreements with the CUWCD are separate, and he intends to verify that should the City default on this agreement it would not impact any of the existing agreements.

Applicant representatives expressed concerns with the redline suggestion in Section 1.3 for them to increase their takedown schedule as that is not something they are capable of at this time. They would prefer to meet and discuss the specifics of an increased takedown schedule rather than have a set timeframe in the agreement, especially in consideration of the preferable takedown schedule discussed during previous negotiations directly with CUWCD. They are willing to sit down with City representatives for further negotiations; however, due to time constraints, they will also need to contact CUWCD to discuss other options should an agreement with the City not be reached.

Mr. Jerome stated that he had a conversation with Nate Shipp regarding the difficulties of drafting a contract for water shares the City does not currently have. Should CUWCD require a more aggressive takedown schedule the City would be forced to sell the shares to another party as Eagle Mountain does not have the money to purchase and hold those shares for OWR.

Discussion ensued regarding how to structure the agreement with terms that reduce the risk for both parties until the contract with CUWCD can be finalized.

Applicant representative Chase Andrizzi verified that approval of this agreement would satisfy the requirements for their water needs for the development and they would not need to seek an agreement directly with CUWCD. They are amenable to the proposed changes to 1.10. However, they feel Section 2.3 Failure to Obtain Additional 3,000 AF duplicates 2.1 Failure to 2024 Trigger. As such, they requested to strike Section 2.3 from the agreement.

Mr. Draper stated that his interpretation of the agreement without Section 2.3 would obligate the City to sell water they did not have should they fail to obtain water from CUWCD.

Mr. Andrizzi said they are agreeable to clarifying that the City is not obligated to sell the additional 3,000-acre feet should Eagle Mountain be unable to enter an agreement with CUWCD. OWR would still purchase the City's existing 1,000-acre feet of water but the other terms of transferring the wells and other rights would not be triggered. He clarified that their concern with Section 2.3 is the requirement to meet to try to save the agreement.

Mr. Jerome suggested adding language to Section 2.3 that if the City is unable to come to an agreement with CUWCD prior to January 2, 2025, the City's obligation to provide the additional 3,000-acre feet of water to OWR is not required.

In reference to Section 3, discussion explored existing land use approval requirements, if a change to the development agreement would constitute a breach of this provision and the applicants' concerns with redundancies in the verbiage.

The applicants proposed language to Section 5.1 Conditions Precedent to clarify that should there be no other agreement between Eagle Mountain and the CUWCD, they will not be obligated to transfer the well. They prefer to retain Section 5.3 with the addition of the language suggested by the City Attorney clarifying that the City has no further obligation to sell the additional 3,000-acre feet of water if an agreement is not entered into with CUWCD.

Discussion clarified that the well listed in Section 5 was not a part of the 2010 Pole Canyon Water Agreement and is OWR's only culinary well, the others are agricultural wells that could not be added to the City's water system.

Mr. Andrizzi said they are willing to concede to insure title on the section of real property that they are dedicating to the City in Section 5.4. Well Transferred "As Is." They are unable to insure the water rights themselves at the fair market value of 1,000-acre feet of \$15,000 an acre-foot and that would not have been required in a direct agreement with CUWCD.

Mr. Westhoff said they would be willing to insure a partial amount of up to \$250,000 to mitigate City concerns and incentivize the title company to thoroughly verify there are no liens and the water is free of encumbrances.

Mr. Jerome explained that the City's water attorney is not as concerned with title insurance as the City has been in the past. The City requests a value of \$5,400 per acre-foot for a total value of \$5,400,000.

Discussion ensued regarding the purposes of the title insurance and the benefits of that insurance even on the partial amount as the lien investigation for a clean title report would be triggered independently of the amount insured.

The parties agreed to change the number of failed consecutive takedowns by OWR in Section 7.4.1 from three to two and to clarify in Section 10 that this agreement is a standalone agreement that

does not supersede the White Hills Transition Agreement but the new agreement would control in the case of a conflict.

MOTION: *Councilmember Burnham moved to approve a Public Water Supply Agreement entered into on January 24, 2023, between Eagle Mountain City, Utah and Oquirrh Wood Ranch, LLC authorizing the Mayor to sign the agreement subject to changes discussed and the approval of the City Administrator and City Attorney. Councilmember Love seconded the motion.*

<i>Those Voting Yes</i>	<i>Those Voting No</i>	<i>Those Abstaining</i>	<i>Those Absent</i>
☒ <i>Donna Burnham</i>	☐ <i>Donna Burnham</i>	☐ <i>Donna Burnham</i>	☐ <i>Donna Burnham</i>
☐ <i>Colby Curtis</i>	☒ <i>Colby Curtis</i>	☐ <i>Colby Curtis</i>	☐ <i>Colby Curtis</i>
☐ <i>Jared Gray</i>	☐ <i>Jared Gray</i>	☐ <i>Jared Gray</i>	☒ <i>Jared Gray</i>
☒ <i>Carolyn Love</i>	☐ <i>Carolyn Love</i>	☐ <i>Carolyn Love</i>	☐ <i>Carolyn Love</i>
☐ <i>Brett Wright</i>	☒ <i>Brett Wright</i>	☐ <i>Brett Wright</i>	☐ <i>Brett Wright</i>
☒ <i>Tom Westmoreland</i>	☐ <i>Tom Westmoreland</i>	☐ <i>Tom Westmoreland</i>	☐ <i>Tom Westmoreland</i>

As there was a tie vote, Mayor Westmoreland voted. The motion passed with a vote of 3:2.

3:00 P.M. WORK SESSION – CITY COUNCIL CHAMBERS

3. BUDGET PLANNING

3.A. DISCUSSION – Department Outlooks

Finance Director Kimberly Ruesch introduced the Department Outlooks and shared challenges identified by several departments:

- Meeting challenges of rapid growth
- Staffing turnover
- Staff and leadership training
- Technology
- Space for current and future needs
- Timelines impacts on inflation costs

Utah County Sheriff's Office

Sergeant BJ Eccles presented the Utah County Sheriff's Office (UCSO) department outlook. With the additional deputies which were added to the staffing plan last year, they are getting closer to handling the demands from the community, while maintaining a pro-active enforcement mindset. The deputies were more proactive with traffic enforcement, which resulted in a high volume of traffic stops (6,033), citations (2,770), and DUIs (151).

Sergeant Eccles stated the main challenge the department faces is making sure they are adequately staffed to provide for the residents of Eagle Mountain City, but also for the safety of the deputies. Currently, there is one supervisor that works a 12-hour shift, supervising 8 deputies who cover a

24-hour period. Ideally, they would add two sergeants to the staffing plan. This would allow four patrol teams with 24-hour supervisory coverage. This would help with the overall safety of deputies and accountability/policy issues, but more importantly lessen liability to Utah County Sheriff's Office and the City. The other position, which needs to be addressed for similar reasons (liability, accountability, span of control), would be the addition of a Lieutenant position. This position would serve as a direct supervisor or watch commander for the sergeants assigned to Eagle Mountain City and would directly report to the Chief Deputy. Due to the amount of serious (fatal) accidents this past year, UCSO will continue a proactive approach with traffic enforcement. We will also focus on expanding our volunteer Community Safety programs and identify which programs residents are still interested in participating in.

When asked which positions he would prioritize if only two could be filled, Sergeant Eccles stated the two sergeant positions.

Information Technology Services

Economic Development Director Evan Berrett presented the item. Eagle Mountain receives its information technology services from Executech, an IT consulting firm that provides technological services on a contractual basis. Executech employees are at City Hall multiple days a week to ensure that all computers, servers, and networks are working properly to allow City employees to work efficiently and effectively. Oversight of the City's technology needs is handled by the Economic Development Director. In the past year, IT equipment that had been piling up for years was sorted and purged, and a better organization method has been implemented. Despite an IT-connected incident this year, the City's systems were found to not have been breached, and additional protections were successfully implemented. An upgrade to internet service was completed, and hundreds of service tickets successfully completed. Areas of Focus for Information Technology include implementation of better asset management and equipment onboarding/offboarding process, more regular cyber security audits and reviews with staff, and enhancing services with Executech or possibly standing up the City's own services to increase response time and reduce frustration.

Streets and Stormwater

Streets and Stormwater Manager Zac Hilton presented the item. The Streets division does its own pavement repairs on small to medium projects including pothole and patch repairs, crack sealing, signage installation and repair, snow removal, sidewalks, curb & gutter, striping, and street sweeping. Large projects, such as roto mills, slurry, and overlays are contracted out. The Streets division is responsible for the maintenance and repair of all City streets. The Storm Drain Department's overall objective is to ensure that the City's public and private properties are protected against flooding. The drain system is designed to drain excess rain and groundwater from hills, paved streets, parking lots, sidewalks, and roofs. The city contains a large municipal system that is fed by street gutters on most motorways and other parts of town, which experience heavy rainfall, flooding, and regular storms. The Storm Water Department also responds to emergencies and other urgent situations such as street flooding, open manholes, and illegal dumping. In the past year, the department upgraded the stormwater detention pond in Arrival to prevent future flooding to residents, they are nearing completion of all residential streets' receiving surface treatment on roads older than 5 years, and the department collected and maintained street sign data. Department challenges include the growth of City, loss of employees, the difficulty in hiring new employees

with experience, and an understaffed Storm Water Department. The focus for the upcoming year includes increased training for staff, improved process in communication with residents on issues, and collecting GIS storm water system data.

Councilmember Love recommended hiring an administrative assistant to assist with resident communications. Councilmember Curtis suggested working with the schools to train students through a trades program. Mr. Hilton said they have attempted to recruit employees via seasonal workers but they have not received applications in part due to other businesses being able to offer better compensation and work conditions, and City wages being insufficient to meet cost of living expenses. Councilmember Wright advocated for the City to explore competitive wages to attract new workers for all departments. Councilmember Burnham suggested helping potential employees understand the long-term benefits and earning potentials in non-collegiate fields.

Ms. Ruesch stated that she will provide a budget status update at the February 7 meeting and a budget opening for year-end at the February 21 meeting. Budget work meetings are scheduled from 3:00 to 5:00 p.m. on March 14, April 11, and May 9.

Councilmember Love requested the City hold annual Safe Routes to School reviews with Alpine School District.

Discussion clarified that the item could tentatively be added to the April 18 meeting agenda, pending Alpine School District decisions on school boundary adjustments to the opening of a new charter school.

4. ADJOURNMENT

Mayor Westmoreland adjourned the work session at 5:08 p.m.

Approved by the City Council on February 21, 2023.


Fionnuala B. Kofoed, MMC
City Recorder

